



CI & SI

By Aanchal Kansal

www.vaagaacademy.com

● 1. SIMPLE INTEREST (SI)

✓ Definition:

Simple Interest is the interest calculated only on the original amount (called the Principal) for the entire time.

◆ Formula:

$$SI = \frac{P \times R \times T}{100}$$

Where:

- P = Principal (initial amount)
- R = Rate of interest per annum
- T = Time (in years)

◆ Amount (A) after interest:

$$A = P + SI$$

Example:

If ₹1000 is invested at 10% per annum for 3 years:

$$SI = \frac{1000 \times 10 \times 3}{100} = ₹300$$

$$\text{Amount} = 1000 + 300 = ₹1300$$

● 2. COMPOUND INTEREST (CI)

✓ Definition:

Compound Interest is the interest calculated on both the Principal and the accumulated interest from previous years.

◆ Formula:

$$A = P \left(1 + \frac{R}{100} \right)^T$$
$$CI = A - P$$

Where:

- P = Principal
- R = Rate of interest
- T = Time (in years)
- A = Final Amount

 Example:

If ₹2000 is invested at 5% per annum for 2 years:

$$A = 2000 \left(1 + \frac{5}{100} \right)^2 = 2000 \times 1.1025 = ₹2205$$

$$CI = 2205 - 2000 = ₹205$$